

The **Subjective** Poverty Trap: Does Feeling Poor Erode Support for Redistribution?

Analyzing how financial deprivation shapes redistributive preferences across Europe using the 2023/24 European Social Survey (Round 11)

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Motivation & Economic Relevance

Research Question

Does subjectively feeling financially deprived, independent of objective income level and psychological value profile causally reduce a European citizen's support for government-led income redistribution?

Why It Matters

Welfare System Foundations: Welfare states rely on redistributive preferences. Classical theory (Meltzer-Richard model) predicts low-income individuals favor redistribution.

The Political Poverty Trap: If subjective financial stress fosters individualism and undermines solidarity among potential beneficiaries, it creates a self-reinforcing political poverty trap.

Policy Implications: Understanding this behavioral mechanism has direct implications for welfare state design and the behavioral roots of inequality across Europe.

Data, Variables and Methodology Pipeline

Data & Variables

Data Source

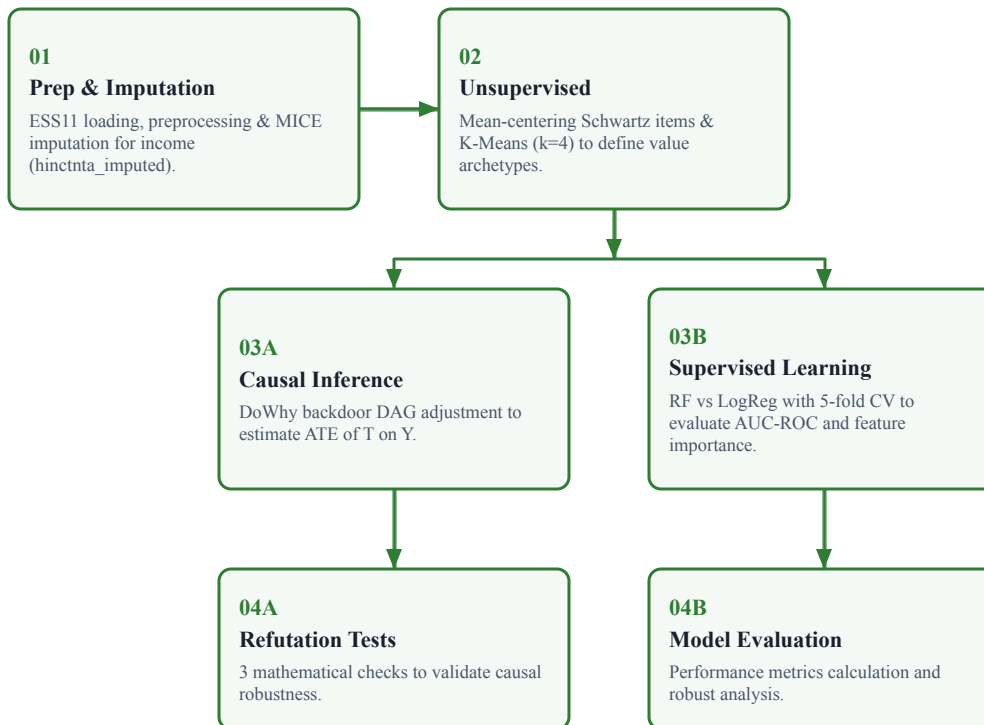
- ESS Round 11 (2023)
- ~50,000 respondents
- Unit: Individual survey

Key Variables

Target (Y): gincdif,
Y_support_redist

Treat (T): T_subj_poor

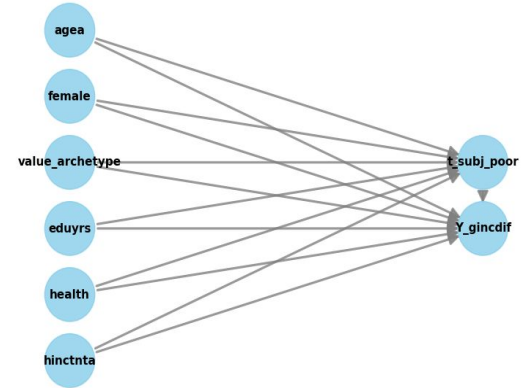
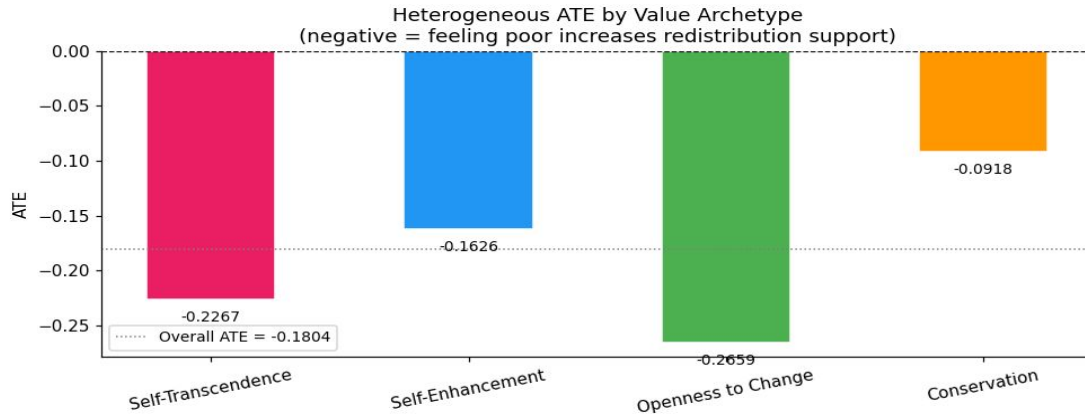
Confounders: hinctnta,
health, value_archetype,
agea, eduys, female, cntry



Estimating the Effect of Subjective Poverty

ATE = -0.180 95% CI [-0.208, -0.153] | $p = 3.4 \times 10^{-38}$ ✓ All 3 refutations passed

Feeling poor INCREASES redistribution support — subjective poverty trap hypothesis REFUTED



Sensitivity: CC ATE = -0.160 vs MICE ATE = -0.180 ($\Delta = 0.020$)

Estimating the Effect of Subjective Poverty

Supervised Learning

Random Forest AUC = 0.653

Logistic Regression AUC = 0.641 Baseline = 0.500

t_subj_poor: meaningful predictor among 29 features

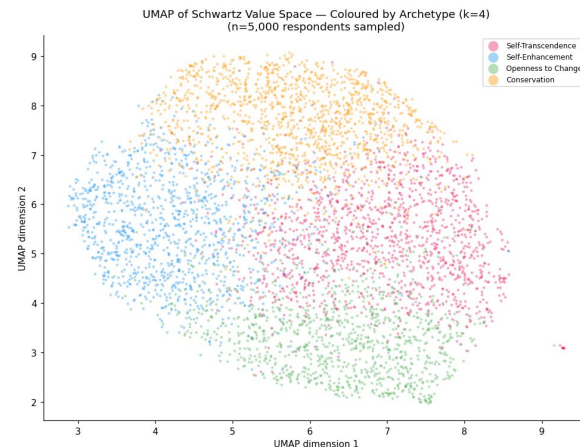
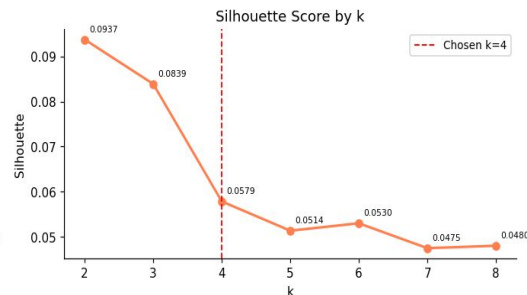
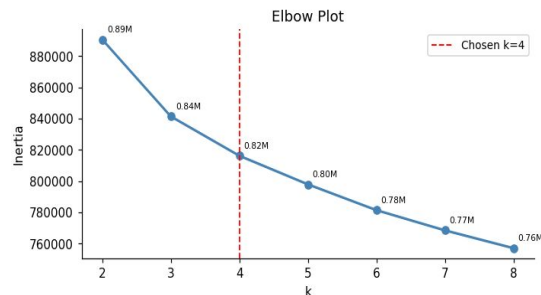
Health Moderation (ESS11)

Good health: ATE = -0.171

Poor health: ATE = -0.215 (amplified)

Unsupervised — k=4 Archetypes

k-Selection: Silhouette scores are low (0.05-0.09) — normal for mean-centred Likert survey data. k=4 chosen on theoretical grounds (Schwartz four higher-order value dimensions).



Limitations & Synthesis

1. Cross-sectional design

Cannot rule out reverse causality. Panel ESS data needed to test whether poverty feeling precedes changes in redistribution attitude.

2. Self-reported bias

T (hincfel) and Y (gincdif) are both subjective Likert items: acquiescence bias, social desirability, cross-cultural scale differences across 30 countries.

3. Income missingness (53.2%)

MICE under MAR assumption. Non-random signal detected ($\Delta gincdif = 0.041$). ATE sensitivity range: -0.160 to -0.180 .

4. Low silhouette scores (0.05–0.09)

Expected for Schwartz circumplex — values form a continuous structure. $k=4$ justified theoretically (Schwartz, 1992).

1. ATE = -0.180 ($p < 0.001$): feeling poor INCREASES redistribution support — Meltzer-Richard direction confirmed.

2. Effect heterogeneous: Openness to Change (-0.266) strongest, Conservation (-0.092) weakest — the politically critical exception.

3. Poor health amplifies the effect (-0.215 vs -0.171), confirming the ESS11 health module adds explanatory power.

4. RF (AUC = 0.653) and causal block converge: subjective poverty is a genuine, independent signal.

5. Three blocks are interdependent: archetypes $\rightarrow$ confounders $\rightarrow$ causal; RF confirms predictive importance.

References

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